

Strong growth in Q1 is unlikely to be sustained through the rest of 2026

- **Key changes:** We've increased our 2026 GDP growth forecast for Finland by 0.3ppts to 1.2% due to Q1 GDP growth of 0.9% q/q, the highest rate since 2021. However, we don't expect the strong growth to be sustained in the coming quarters. We have revised up our inflation forecast slightly, with the national measure averaging just over 2% this year. The European Central Bank hiked rates at its June meeting, as we expected. We think the central bank will hike the policy rate once more this year in July to 2.5%, but undo both hikes in 2027.
- **Short-term forecast:** We expect growth in the coming quarters to be sluggish amid the volatile external backdrop, which depends on the restoration of tanker traffic through the Strait of Hormuz. Fiscal policy will be restrictive as the government aims to reduce the still-elevated fiscal deficit, but real income gains should drive a gradual pick-up in consumption. Energy prices pulled back in April, but headline inflation remains above the ECB's 2% target. We expect inflation to peak at 3.3% later this year.
- **What to watch out for:** The key risks to our forecasts relate to the Middle East conflict and the impact it will have on energy prices, growth, and interest rates. Our baseline assumes only limited disruption, with fiscal worries constraining government support, and a relatively small amount of monetary tightening from the ECB. However, if the impact is more severe than we expect, inflation would peak higher, growth would suffer more, and Finland's government and the ECB would likely act more forcefully.

Table 1: Finland forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2023	2024	2025	2026	2027	2028
GDP	-1.3	0.4	0.2	1.2	1.1	1.2
Private consumption	-0.3	-0.2	-0.3	1.5	1.4	1.4
Industrial production	-2.2	-0.9	1.3	1.4	-0.2	0.6
Employment	0.5	-1.1	-0.6	0.2	1.4	1.8
Unemployment rate (%)	7.2	8.4	9.7	10.2	9.5	8.3
Government balance (% of GDP)	-2.9	-4.4	-3.4	-3.4	-2.8	-2.3
Gross government debt (% of GDP)	77.4	83.4	91.5	93.7	95.6	95.5
Current a/c balance (% of GDP)	-0.9	-0.4	1.3	0.7	-0.9	-0.4
Consumer prices	6.3	1.6	0.3	2.2	1.5	1.5
Bank's deposit rate (% EOP)	4.00	3.00	2.00	2.50	2.00	2.00
10yr govt. bond yield (% EOP)	3.1	2.7	3.1	3.3	3.3	3.3
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

Baseline forecast

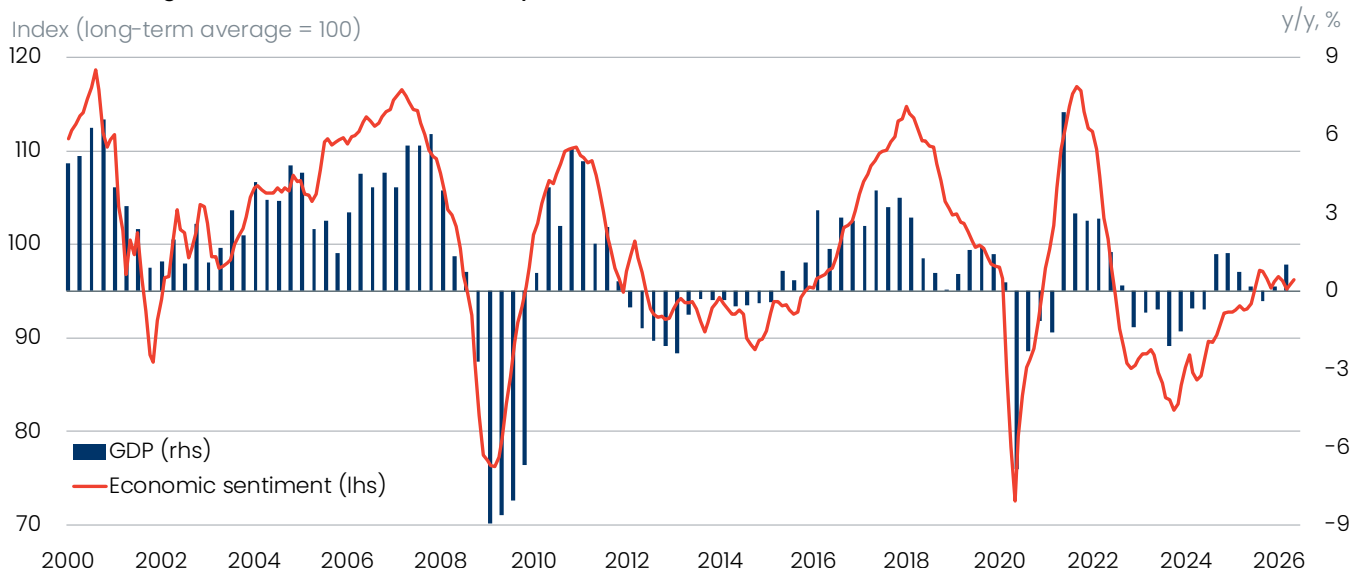
Recent developments

Finland emerged from recession at the end of 2025 and growth in Q1 surprised on the upside. Growth was driven by investment due to a one-off spike in government investment, and private consumption. Available data for Q2 suggest growth has since moderated as double-digit rises in energy prices weigh on activity. Inflation remained above target the ECB's 2% in May, driven by energy prices. We think it will peak at over 3% late this year.

The leading economy-wide indicator lost the positive momentum from late last year. It's now consistent with sluggish growth, in line with our baseline view ([Chart 1](#)).

Chart 1: Leading indicators suggest strong growth is unlikely to be sustained

Finland: GDP growth and economic tendency



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We've nudged up our GDP growth forecast for Finland in 2026 by 0.3ppts to 1.2% due to especially strong growth in Q1. The adverse impact of the Middle East conflict will weigh on household spending and business investment. We expect growth of 1.1% in 2027, below the consensus estimate of 1.4%.

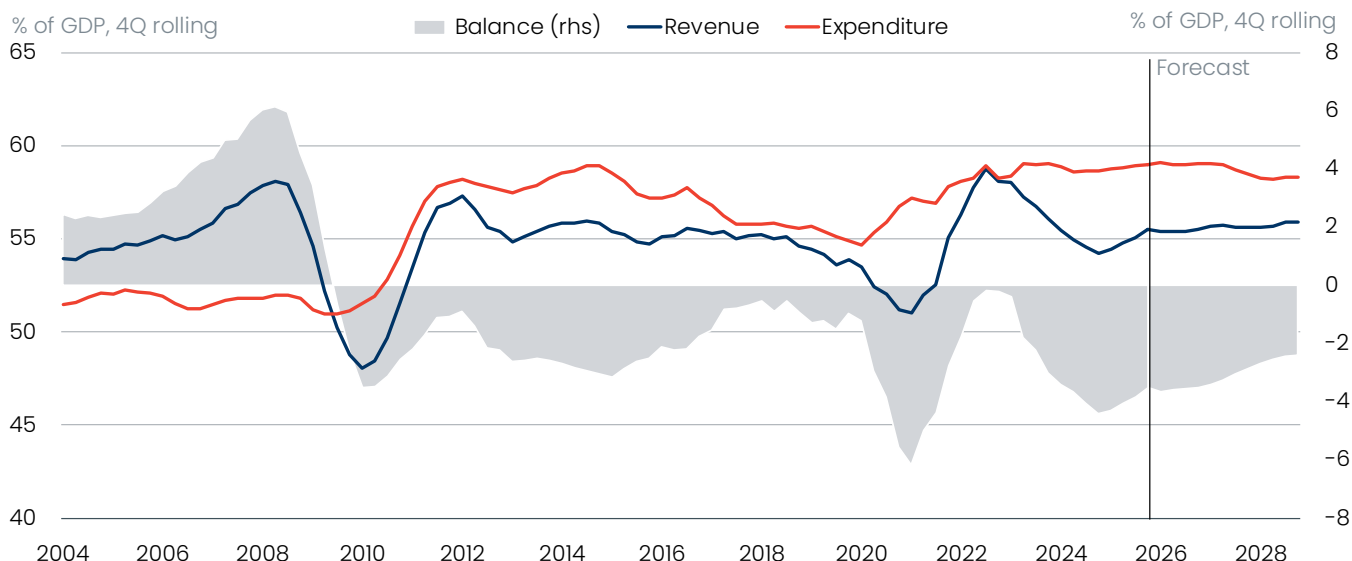
Policy assumptions

Fiscal policy. Finland has embarked on a multi-year fiscal consolidation effort amid a still-high deficit and rising public debt. It was put in the EU's Excessive Deficit Procedure in January, which means a higher level of scrutiny around its fiscal path. Limited measures to lower transport fuel costs for households have been announced so far, reflecting the government's hard fiscal constraints. We expect the deficit to gradually shrink ([Chart 2](#)).

Monetary policy. After hiking in June, as we expected, we think the ECB will hike the policy rate once more this year in July to 2.5%, aiming to keep inflation expectations anchored. But we expect the ECB to reverse the two hikes by mid-2027, bringing the deposit rate back to 2% as energy prices normalise and the hit to growth from the Middle East conflict becomes more apparent.

Chart 2: We expect the elevated fiscal deficit to gradually shrink

Finland: General government finances



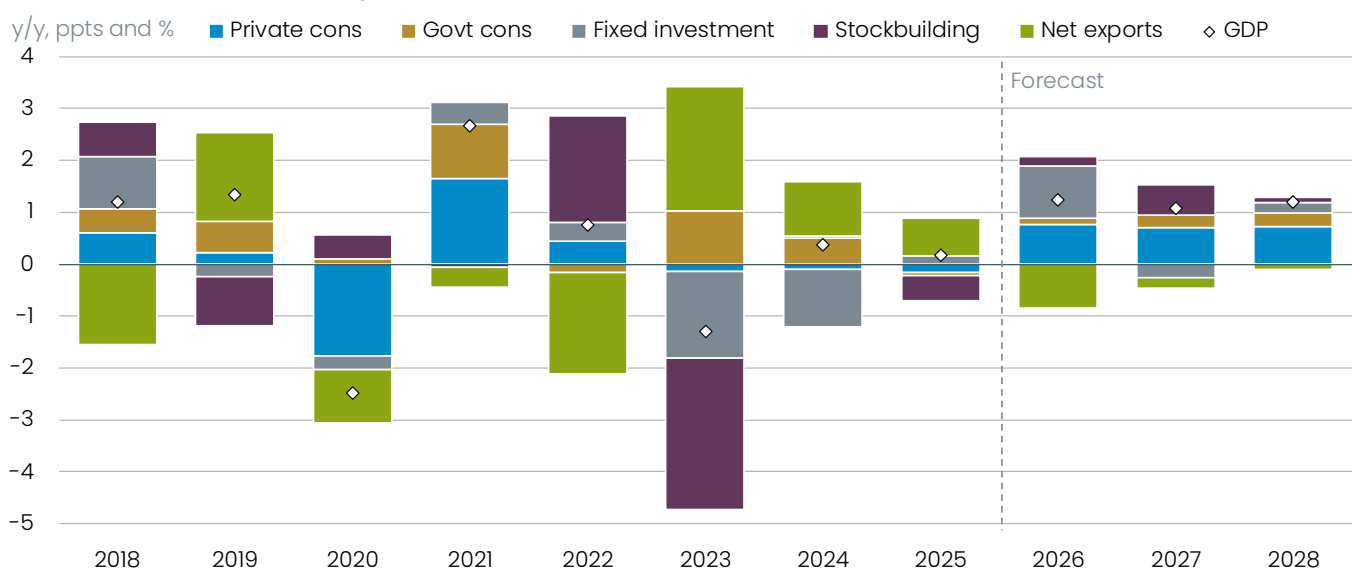
Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

Growth will be driven by domestic demand. We still expect growth to be driven by domestic demand, particularly private consumption and fixed investment, especially following a bumper Q1 for the latter. Key risks for consumption growth are the extent to which households build precautionary savings and developments in the labour market. We expect an uptick in the savings rate and a slightly slower decline in the elevated unemployment rate than before, but not enough to derail the gradual recovery. Higher US tariffs and the Middle East conflict dampening growth abroad will weigh on exports ([Chart 3](#)).

Chart 3: Domestic demand will be the main growth driver

Finland: Contributions to GDP growth



Sources: Oxford Economics, Haver Analytics

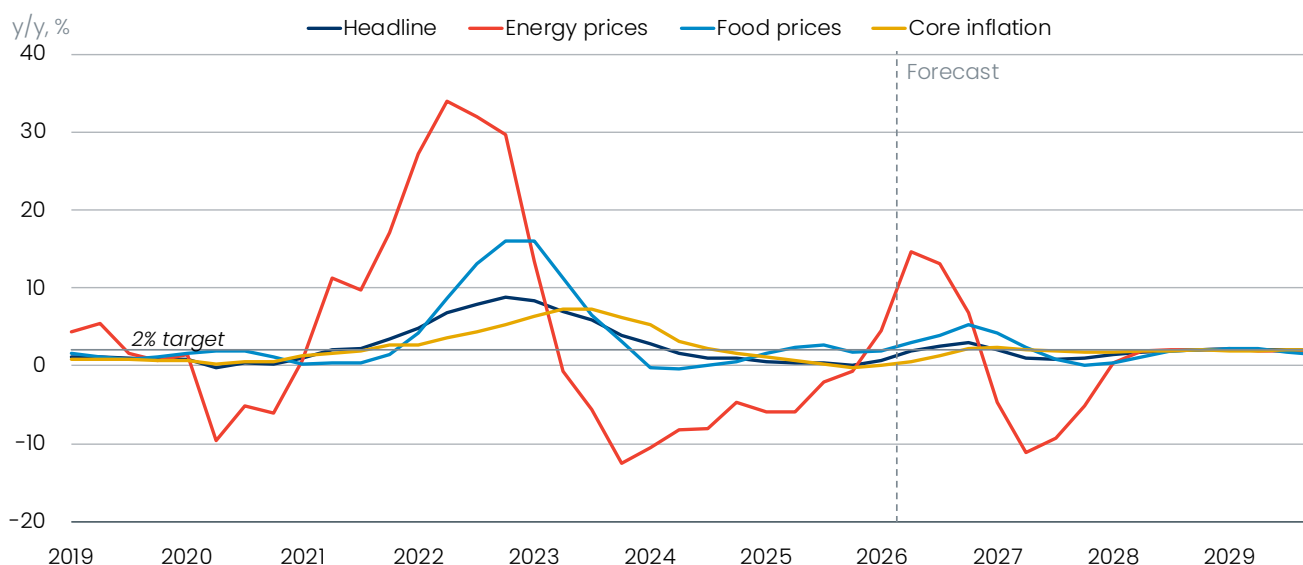
The inflationary surge will be smaller than in 2022. We expect the energy price surge due to supply disruptions caused by the Middle East conflict will be much smaller than the shock in 2022. The main channel will be higher prices for transport fuels. Electricity prices surged early this year due to adverse weather conditions, but fell back from March – gas and other fossil fuels aren't important in Finland's electricity mix.

We've also raised our forecasts for food prices due to higher fertiliser prices and supply chain disruption.

Core inflation is set to rise with a lag due to second-round effects from higher energy prices. Overall, we expect headline CPI to average just over 2% this year ([Chart 4](#)). This means the negative hit to household budgets should be relatively contained. However, the outlook is subject to high uncertainty, dependent on when and the extent to which normal trade flows through the Strait of Hormuz resume.

Chart 4: Energy prices are the main driver of higher inflation this year

Finland: CPI inflation components



Sources: Oxford Economics, Haver Analytics

We expect financial conditions to continue tightening, weighing on growth. Financial conditions have tightened in the wake of the Middle East conflict, with benchmark government bond yields and the interest rates on new mortgages jumping.

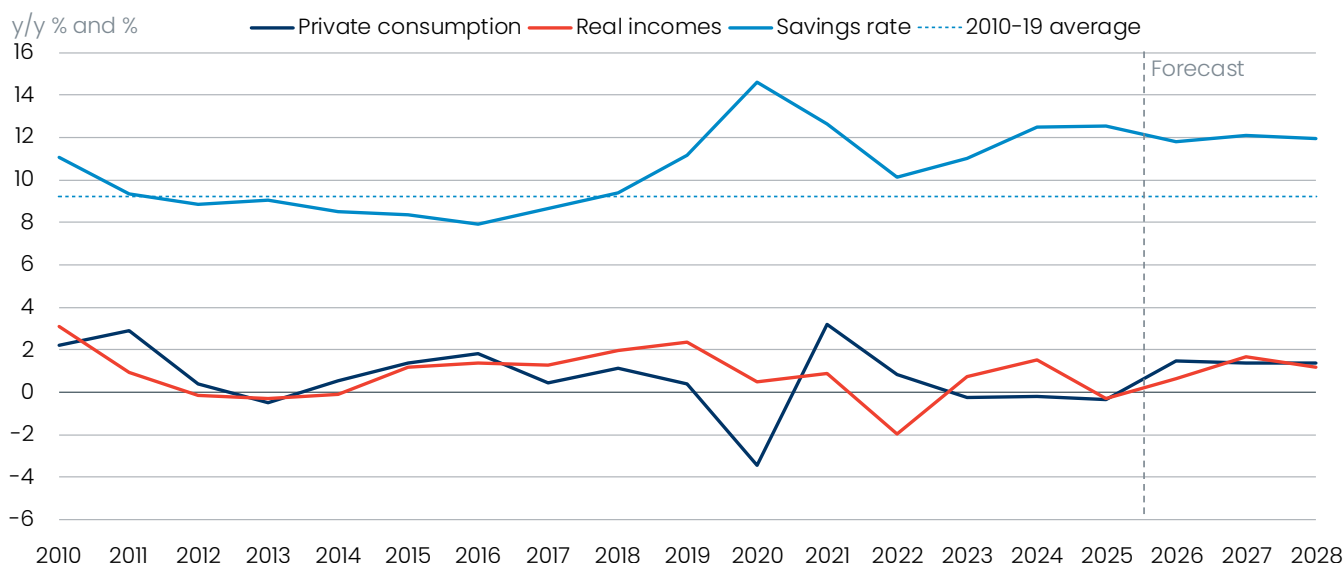
Finland's private sector is highly indebted, with household debt equivalent to 75% of GDP, and almost all mortgages are on variable rates. This means that higher interest rates pass through quickly into the economy and the high debt service ratios lower disposable incomes.

As a result, we expect the flow of credit to the private sector to slow. This shouldn't derail economic growth, but it is one of the drivers behind our lower forecast.

Household savings rate will likely remain elevated. The household savings rate has increased to 12%, more than 2ppts higher than in the decade before the pandemic. This reflects precautionary savings in light of a series of adverse supply-side shocks. We expect the savings rate to remain relatively elevated, as households continue to build more precautionary savings. This will weigh on private consumption growth ([Chart 5](#)). Household consumption is set to expand by 0.9% this year and 1.4% in 2027. The key risk is around a more severe consumer response to the Middle East conflict.

Chart 5: We expect the household savings rate to remain higher than in 2010s

Finland: Household incomes, spending, and saving rates



Sources: Oxford Economics, Haver Analytics

Higher defence spending implies hard fiscal trade-offs. Finland's government has set a defence spending target of 3% of GDP by 2029, up from 2.1% this year. This means an additional permanent €3bn in spending.

Finland has an ample supply of artillery and munitions, but relies on foreign manufacturers for equipment and big-ticket items, such as fighter jets and armoured vehicles. This means that the additional spending will do little to boost domestic industry and will worsen the external balance. Moreover, it will lead to hard fiscal trade-offs in the context of the ongoing fiscal consolidation, competing spending priorities, and an already-high level of taxation.

What to watch out for

Policy surprises. Finland has entered the energy price shock in a weak fiscal position. Moreover, it's under closer EU scrutiny as it is in the corrective arm of the EU's Excessive Deficit Procedure, risking fines if it deviates from its fiscal consolidation path. But should the energy price shock prove more severe than we expect, the government may opt for broader measures to shield households at the cost of increasing the deficit and borrowing costs.

Consumers spending or saving real income gains. High inflation and higher mortgage payments have eroded the spending power of households over the past three years. But consumption has also suffered due to the build-up of precautionary savings amid weak confidence and uncertainty. The savings rate remains over 2ppts higher than in the years prior to the pandemic. The extent to which households spend or continue saving their real income gains amid a new adverse external shock will be key for the consumer rebound.

Labour market dynamics. Finland's unemployment rate has risen to over 10%, the highest in the EU. However, this has largely been driven by a surge in the labour force, with only a small decline in employment. We expect employment to resume growing, bringing down the unemployment rate, boosting aggregate household incomes and government tax intake, helping to close the deficit. We don't expect the Middle East conflict to have a material impact on the labour market, but it's a key risk to watch.

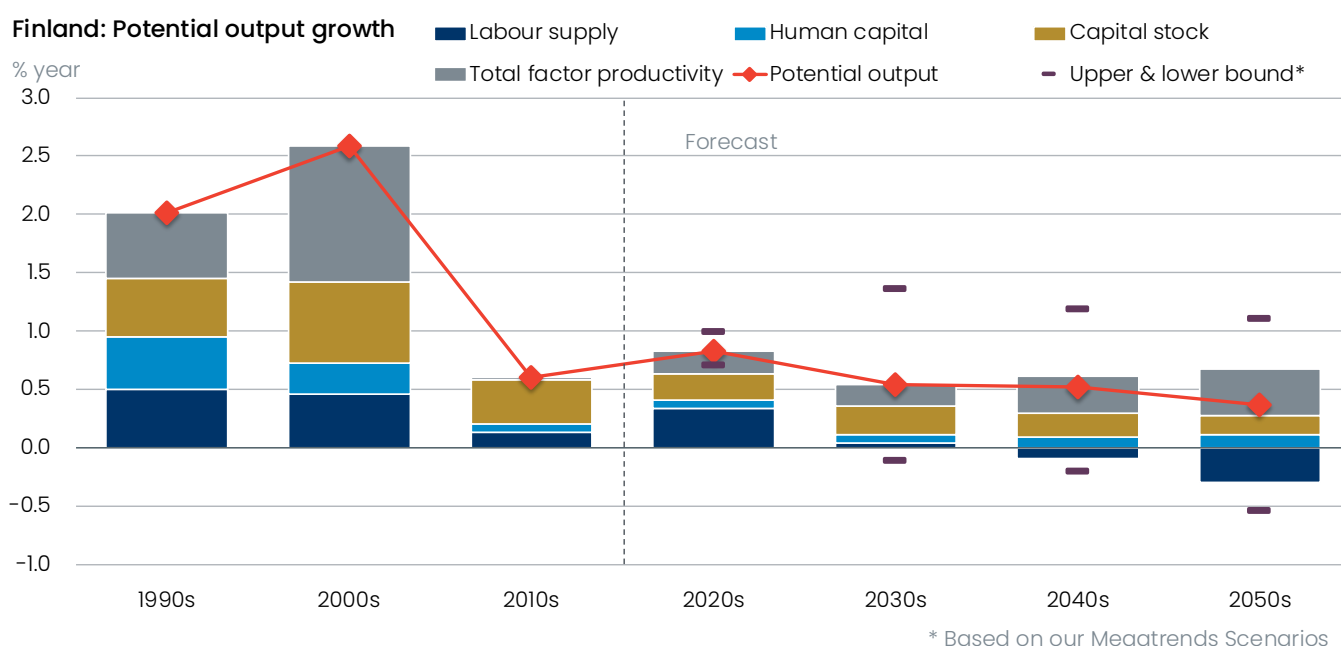
Supply-side reforms. Finland's growth has slumped since the global financial crisis together with the secular decline of its national champion, Nokia. A key reason for this has been the country's very poor productivity growth

and capital deepening. The government has implemented reforms to boost the labour supply, but so far this hasn't been accompanied by other supply-side reforms to stimulate investment and productivity. However, Finland's clean and affordable power mix mean there has been a surge in datacentre buildout.

Long-term prospects

We expect GDP growth to be modest over the next few decades, averaging just 0.5% from the 2030s. Productivity growth has been especially weak recently, and we expect only a small pickup in the forecast. Demographics are set to turn from being the main support for potential growth in the 2020s to becoming a major drag, given an ageing population, an exceptionally low fertility rate, and net migration that isn't likely to be high enough to offset it (Chart 6).

Chart 6: Our baseline forecast shows an increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

Over the next 10 years, Finland's rapidly ageing population is set to increase the old-age dependency ratio – the number of people aged 65 and over for every 100 people aged 15 to 64 – to more than 40. Past governments succeeded in reducing structural unemployment and extending the retirement age to boost participation rates. But given the collapse in the fertility rate and in the absence of large immigration flows, labour supply will decline, providing little impetus to long-term potential growth. Finland isn't a major destination for refugees fleeing the war in Ukraine, and most of them are likely to return home when hostilities end.

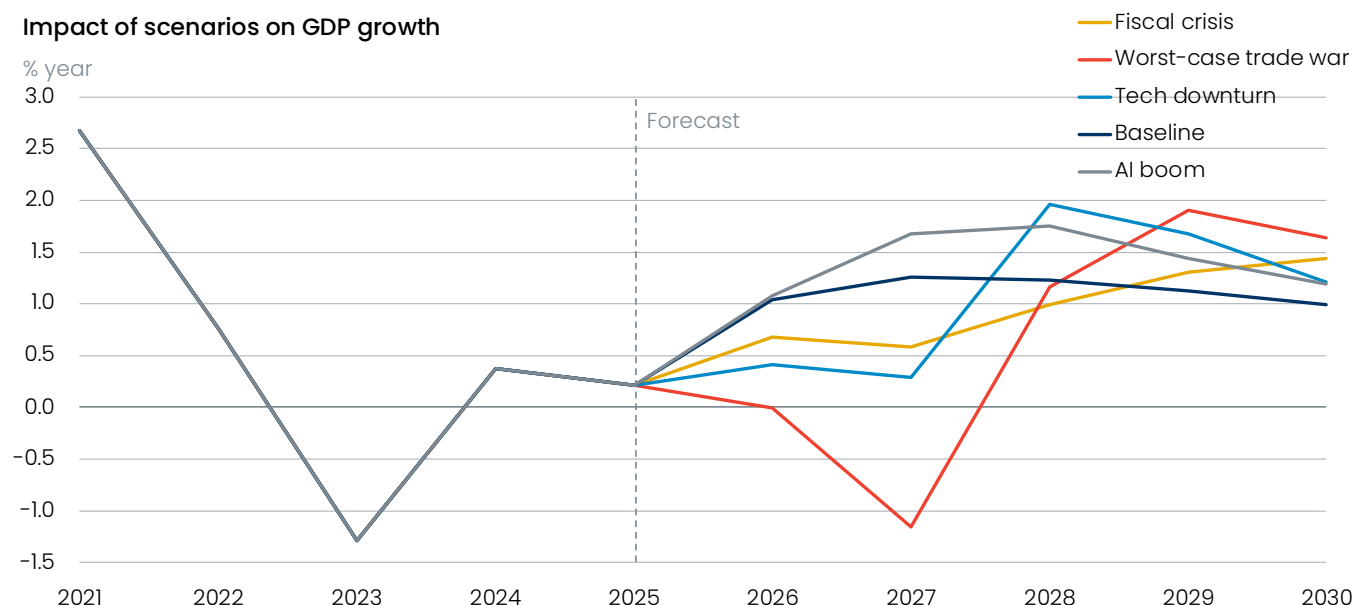
Investment in research and development in recent years has been subdued, harming potential output. But Finland is still a global leader in terms of education and innovation capacity, which provides upside risk for productivity growth over the next decade, despite its poor performance recently. Capital deepening provides another potential upside because the digital transition and the rise of artificial intelligence will require higher investment. Finland's high levels of digital skills in the workforce position it well for a broad absorption of AI.

Scenarios

Exposure to key global risks

Worst-case trade war. In this scenario, the US hikes tariffs further, triggering retaliation from trading partners and significant supply-chain disruption. The US economy enters a recession in 2026. Average growth in Finland would be 1.2ppts lower than our baseline forecast over the next three years, reflecting the nature of its highly trade-sensitive economy ([Chart 7](#)).

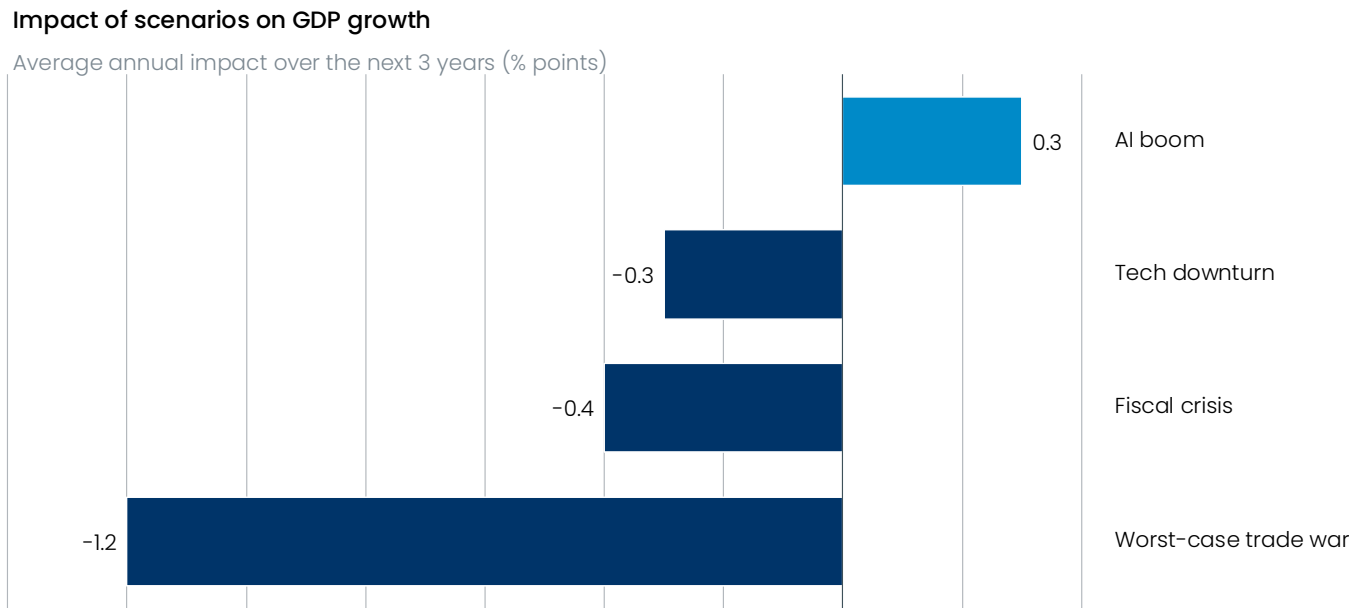
Chart 7: A more severe trade war and a tech downturn are key near-term risks



Source: Oxford Economics

AI boom. In this upside scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. Digital technology investment rises by a further 15% in 2026 alone. Finland's growth would be 0.3ppts per year above our baseline forecast over the next three years, given its traditionally sizeable exposure to world trade in general and the US market in particular ([Chart 8](#)).

Chart 8: Risks are skewed to the downside



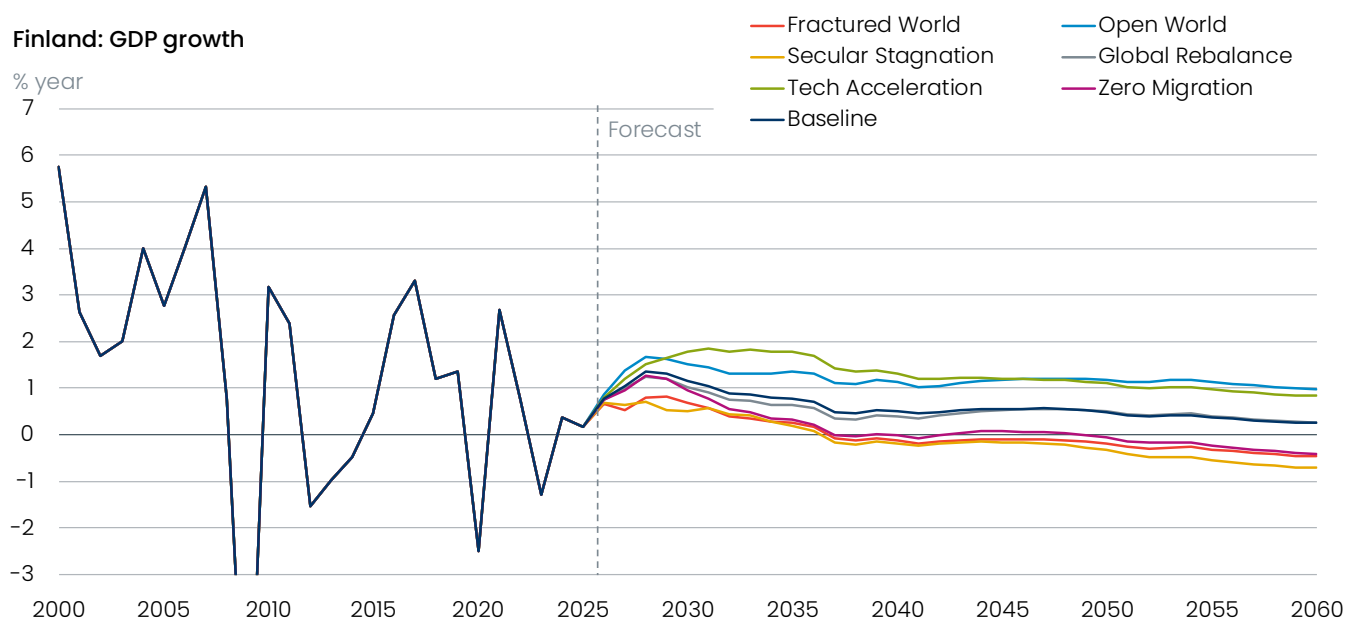
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, which includes Finland due to its high levels of human and physical capital, benefit first. Productivity growth would be stronger, domestic inflationary pressures would be weaker, and governments would benefit from fiscal dividends, stabilising debt-to-GDP ratios thanks to higher tax receipts and lower welfare transfers. GDP growth would be 0.8ppts a year higher than in our baseline forecast over 2030–2050.

Chart 9: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Zero migration. In this scenario, future migration flows are excluded from our baseline to isolate the contribution of migration to growth, incomes, fiscal stability, and inflation in both destination and origin economies. We assume no policy response from governments in this scenario. GDP growth suffers due to a smaller labour force and lower positive spillovers into productivity growth. Labour markets tighten in the near term, pushing unemployment below the baseline. But over the long term, weaker productivity and lower employment present drags. In this scenario, Finland's GDP grows by 0.5ppts a year less than in the baseline forecast.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.4	0.1	25
Market demand	3.0	0.0	7
Market cost	3.0	0.0	13
Exchange rate	3.3	0.1	46
Sovereign credit	3.5	0.0	34
Trade credit	4.0	0.0	15

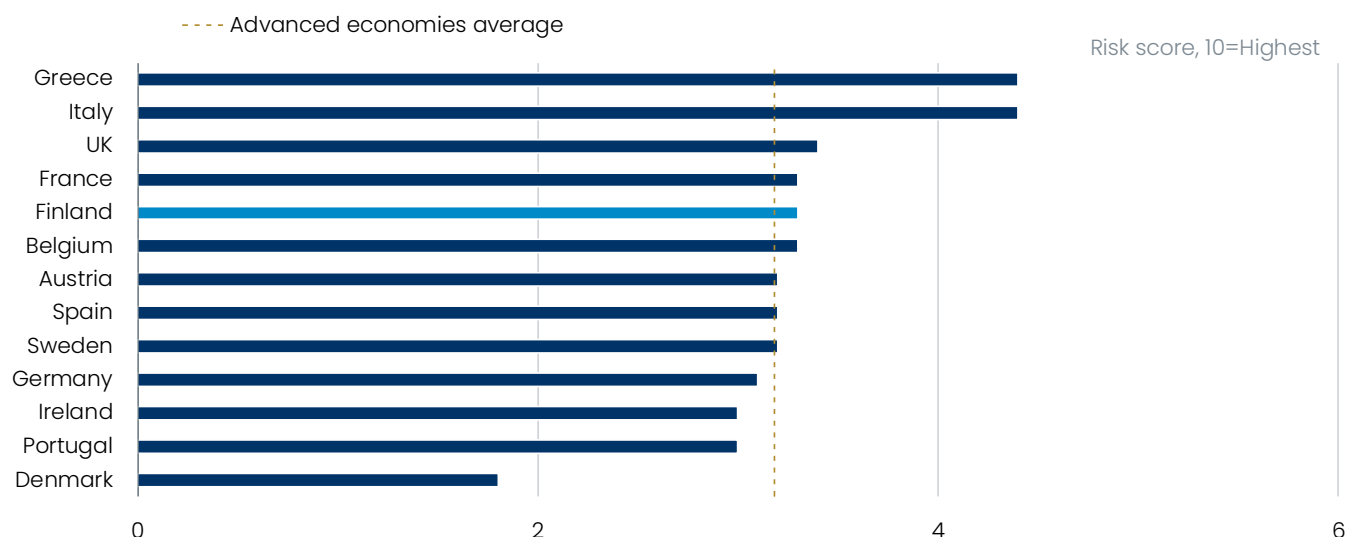
Source: Oxford Economics

Overall risk for Finland: 3.4/10*

Finland's overall economic risk score of 3.4 is low, ranking it 25th out of the 164 countries in our survey. The risk score is marginally higher than six months ago and the advanced economies average ([Chart 10](#)).

Chart 10: Finland's risk score is higher than advanced economies average

Economic risk: Finland vs Advanced economies average



Source: Oxford Economics

Finland underperformed in the aftermath of the global financial crisis, as several of its key sectors and companies fell into secular decline. Growth was robust before the pandemic and, although it contracted in 2020, the decrease was milder than elsewhere. But the economy has stagnated since the pandemic, disrupted by supply shortages, the Russia-Ukraine war, a burst of high inflation, and rapidly rising interest rates. We expect Finland's GDP to grow by less than 1% per year over the medium term due to weak demographics and productivity growth, putting pressure on public finances.

Market demand: 3.0/10

The market demand risk score is low at 3.0, below the advanced economies average of 3.3.

The domestic economy suffered in 2020 due to the pandemic. Government measures have supported domestic demand and preserved jobs and incomes but, as emergency measures expire, the fiscal stance has become a drag. Household real incomes have taken a hit from surging inflation, which the gradual withdrawal of fiscal stimulus and private-sector deleveraging will compound. But as real incomes turn positive and interest rates decline, they'll support private consumption and investment.

Market cost: 3.0/10

The market cost risk score is 3.0, slightly above the advanced economies average of 2.8. This reflects the long-term decline of key industries and a rigid labour market that has hurt the competitiveness of Finnish industry.

Improving the competitiveness of domestic producers has been a priority for successive governments, but this has generated mixed results. The current government has a strong pro-business agenda, but it hasn't yet had success in implementing that agenda and lifting Finland's relatively low growth potential.

Exchange rate: 3.3/10

Under our methodology, the foreign exchange risk score is 3.3, marginally higher than six months ago and in line with that of the Eurozone.

The euro surged to US\$1.20 in early 2026 as US tariff uncertainty and a partial shift away from US assets drove dollar weakness, but has since pulled back to around US\$1.15 as those initial drivers have gradually faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Fed easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises. ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast the EUR/USD exchange rate will reach US\$1.17 at the end of 2026 and US\$1.18 at the end of 2027, as fading structural headwinds provide modest longer-term support..

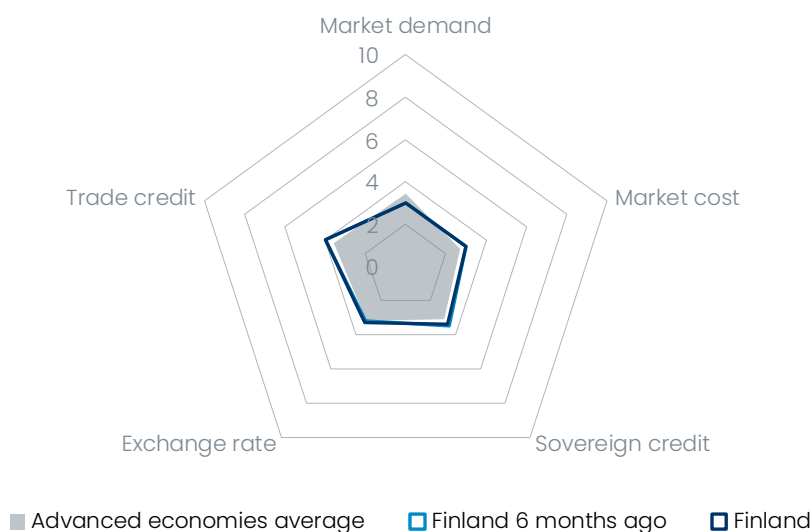
Sovereign credit: 3.5/10

The sovereign credit risk score is 3.4, the same as six months ago. This is still relatively high amid renewed pressure on public finances related to the weak economy and the indexation of some government transfers to inflation. The score had been low due to the previous backdrop of record-low interest rates, which resulted in lower interest expenditure and increased long-term issuance, locking in the low rates. Furthermore, the debt-to-GDP ratio is still below the Eurozone average of almost 100%. Over the long term, the sustainability of public finances will rely on reforms that address the impact of the ageing population.

Finland has ratings of Aa1 from Moody's and AA+ from S&P and Fitch – all one notch below AAA. But Fitch lowered the outlook on its rating from positive to stable in January 2020 due to the risks posed by the high old-age dependency ratio.

Chart 11: Finland scores comparatively poorly on credit risk

Economic risk: Finland vs Advanced economies average



Source: Oxford Economics

Trade credit: 4.0/10

The trade credit risk score – which measures the risk that companies will fail to make payments for goods and services received – is at 4.0. This ranks Finland as the 15th-least risky of the 164 countries in our survey. As part of the single currency zone, Finland generally faces low currency risks, while non-financial firms' liabilities are broadly in line with the Eurozone average.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).